STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Jason and Yuki Mathwin

Of

12 McCutcheon Close
MT ELIZA VIC 3930

Prepared on:

30th November 2023

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an import document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

30/11/2023

Jason and Yuki Mathwin
12 McCutcheon Close
MT ELIZA VIC 3930

Dear Jason and Yuki,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no import facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Jason and Yuki, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Consider appropriate superannuation contribution strategies.
- Determine your projected retirement capital.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.
- Ensure you have sufficient cash flow to meet your desired retirement lifestyle.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Ms
First Name	Jason	Yuki
Surname	Mathwin	Mathwin
Gender	M	F
Date of Birth	14/11/1970	29/06/1977
Age Last Birthday	53	46
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Full Time
Occupation	Sales Director	Jeweller
Employer	GOJO Australasia	AbrechtBird

Estate Planning

	Jason	Yuki
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$2,000,000
Motor Vehicles	$45,000
Total Lifestyle Assets	**$2,045,000**

Superannuation Assets	
Jason	
Australian Super	$343,985
Yuki	
REST Super	$134,687
Total Superannuation Assets	**$478,672**

Total ASSETS	**$2,523,672**

LIABILITIES

Residential Home Loan	$30,000
Car Loan	$11,000
Total Liabilities	**$41,000**

NET WORTH	**$2,482,672**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Jason, based upon your response to the Risk Profile Questionnaire, it was determined that you have a '**Growth**' investor risk profile with respect to investments *inside superannuation.*

- A **Growth** investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A **Growth** portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A '**Growth**' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Yuki, based upon your response to the Risk Profile Questionnaire, it was determined that you have a '**High Growth**' investor risk profile with respect to investments *inside superannuation.*

- A **High Growth** investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A **High Growth** portfolio would typically comprise solely of growth assets such as shares and property.

A '**High Growth**' investor will typically diversify their investment in the following manner:

Australian Shares	51%
International Shares	29%
Fixed Interest	0%
Property	20%
Cash	0%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2023-24

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pre-retirement pension’ phase - Tax rate = 15%

Superannuation in ‘allocated pension’ phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Jason and Yuki, you currently have the following superannuation funds:

Jason

Australian Super – Account Number 1075411116

- The fund currently has a balance of approximately $343,985

Yuki

REST Super – Account Number 104827963

- The fund currently has a balance of approximately $134,687

Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
    - Continue to hold these monies in your existing Australian Super and REST Super funds, respectively.
    - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

Investments Within Superannuation

Australian Super – Account Number 1075411116 (Jason)

Jason, you have a superannuation fund with Australian Super invested in the 'Balanced (100%)' option.

The asset allocation of your Australian Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	23.50%
International Shares	28.50%
Property / Infrastructure	19.50%
Alternative	8.50%
Fixed Interest	14.00%
Cash	6.00%
	100%

Current Australian Super Portfolio Profile Compared to a 'Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth Portfolio	Deviation
Australian Shares	23.50%	43%	**-19.50%**
International Shares	28.50%	25%	**+3.50%**
Property/Infrastructure	19.50%	17%	**+2.50%**
Fixed Interest	14.00%	13%	**+1.00%**
Cash	6.00%	2%	**+4.00%**
Alternative	8.50%	0%	**+8.50%**

Australian Super 'Balanced' Option Historical Performance at 30/06/23 ^:

	1 year	3 years (p.a.)	5 years (p.a.)
Australian Super	8.22%	8.23%	6.72%

^ Australian Super only publish 12-month returns as at 30 June each year, whereas 'master trust' superannuation platforms update their rolling 12 month returns each month.

REST Super – Account Number 947724575 (Yuki)

Yuki, you have a superannuation fund with REST Super invested in the 'Core Strategy' (69.64%) and 'High Growth' (30.36%) options.

The asset allocation of your REST Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	26.08%
International Shares	38.95%
Property	19.18%
Alternative	12.66%
Fixed Interest / Bonds	0
Cash	3.13%
	100%

Current REST Portfolio Profile Compared to a 'High Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a High Growth Portfolio	Deviation
Australian Shares	26.08%	51%	**-24.92%**
International Shares	38.95%	29%	**+9.95%**
Property	19.18%	20%	**-0.82%**
Fixed Interest	0	0%	**-**
Cash	3.13%	0%	**+3.13%**
Alternative	12.66%	0%	**+12.66%**

REST Super Portfolio Historical Performance at 31/10/23:

	1 year	3 years (p.a.)	5 years (p.a.)
REST Super	4.65%	6.67%	5.90%

Option 1 – Maintain Existing Australian Super and REST Super Funds

Jason

You are invested in Australian Super's 'Balanced (100%)' option which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on page 17.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance and short-term performance associated with your Australian Super is lower than alternative options.

Yuki

You are invested in REST Super's 'Core Strategy' and 'High Growth' options which are not aligned with your Investor Risk Profile.

The asset allocation of your portfolio is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance associated with your existing REST Super fund is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Growth' and 'High Growth' Investor Risk Profiles, respectively. The specific underlying funds that make up your individual portfolios would be:

Jason

Colonial First State Wholesale Personal Super – 'Growth' portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	15.00%
Ausbil Wholesale Australian Active Equity	15.00%
First Sentier Wholesale Australian Small Companies	13.00%
Colonial First State Wholesale Index Global Share	25.00%
Pendal Wholesale Property Investment	9.00%
First Sentier Wholesale Property Securities	8.00%
Perpetual Wholesale Diversified Income	13.00%
FirstRate Wholesale Saver	2.00%
	100.00%

Performance of the alternative Colonial First State 'Growth' Portfolio at 30/06/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	15.00%	14.95%	14.06%	8.70%
Ausbil Wholesale Australian Active Equity	15.00%	14.63%	14.56%	8.72%
First Sentier Wholesale Australian Small Companies	13.00%	11.53%	10.57%	8.74%
Colonial First State Wholesale Index Global Share	25.00%	17.96%	11.45%	9.93%
Pendal Wholesale Property Investment	9.00%	6.90%	7.01%	4.37%
First Sentier Wholesale Property Securities	8.00%	6.64%	7.76%	4.13%
Perpetual Wholesale Diversified Income	13.00%	4.97%	2.37%	1.92%
FirstRate Wholesale Saver	2.00%	2.85%	0.90%	0.80%
	100%	**12.28%**	**10.11%**	**7.22%**

Yuki

Colonial First State Wholesale Personal Super – 'High Growth' portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	17.00%
Lazard Wholesale Select Australian Equity	17.00%
First Sentier Wholesale Australian Small Companies	17.00%
Colonial First State Wholesale Index Global Share	29.00%
Pendal Wholesale Property Investment	10.00%
First Sentier Wholesale Property Securities	10.00%
	100.00%

Performance of the alternative Colonial First State 'High Growth' Portfolio at 31/10/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	17.00%	6.23%	12.84%	8.97%
Lazard Wholesale Select Australian Equity	17.00%	6.61%	20.75%	7.89%
First Sentier Wholesale Australian Small Companies	17.00%	-1.80%	4.72%	8.34%
Colonial First State Wholesale Index Global Share	29.00%	10.61%	10.19%	9.37%
Pendal Wholesale Property Investment	10.00%	-1.97%	2.22%	3.20%
First Sentier Wholesale Property Securities	10.00%	-1.61%	3.15%	3.02%
	100%	**4.60%**	**10.00%**	**7.62%**

Benefits:

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Jason

Type of Fee or Cost	Australian Super - $343,985	Colonial Wholesale Super Fund - $343,985
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee $402 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$1,200 p.a.
Annual average cost – Total $343,985 investment	**$402 p.a.**	**$1,200 p.a.**

Outcomes Post Implementation - Jason:

- The Colonial First State Wholesale '**Growth**' portfolio has **outperformed** your current Australian Super Fund over the past 5 years by an average of **0.50%** p.a.
- Based on your current balance, **this equates to $1,720 per annum ($8,600 over a five-year period).**
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
    - Australian Super (current) – **0.56%**
    - CFS portfolio (proposed) – **0.79%**

Yuki

Type of Fee or Cost	REST Super - $134,687	Colonial Wholesale Super Fund – $134,687
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.10% (capped at $300) + $78 + 0.06% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$600 p.a.
Annual average cost - Total $134,687 investment	**$293 p.a.**	**$600 p.a.**

Outcomes Post Implementation - Yuki:

- The Colonial First State Wholesale '**High Growth**' portfolio has **outperformed** your current fund over the past 5 years by an average of **1.72%** p.a.
- Based on your current balance, **this equates to $2,317 per annum ($11,585 over a 5-year period).**
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
    - REST Super (current) – **0.56%**
    - CFS portfolio (proposed) – **0.80%**

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-Insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an import part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Jason, you currently have the following insurance cover in place under your Russell Investments Super fund.

Australian Super (superannuation owned)

Life Insurance:	$563,000
TPD	$313,000
Income Protection:	$8,000– 60 day waiting period; 2-year payment period.

Yuki, you currently do not have any insurance cover in place under your REST Super fund.

It must be brought to your attention that your insurance cover will cease should you close your existing superannuation funds and roll your superannuation monies across to another fund. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Matthew Hennig will assist you with this analysis and we will subsequently provide recommendations accordingly.

Concessional Superannuation Contributions Carry Forward

Jason and Yuki, the concessional superannuation contribution cap in previous years was $25,000 per annum. In the 2021/22 financial year, this cap increased to $27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
    - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
    - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

- **Jason**, the following concessional contributions have been made in recent years:

Financial Year	Jason	Total Allowable Contributions
2018/19	$21,001	$25,000
2019/20	$23,808	$25,000
2020/21	$27,354	$25,000
2021/22	$27,477	$27,500
2022/23	$28,326	$27,500
TOTAL	**$127,966**	**$130,000**

- Jason, you therefore have a total of **$2,034** in concessional 'catch-up' contributions available to you from the 2018/19, 2019/20, 2020/21, 2021/22 and 2022/23 years.

- **Yuki**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Yuki	Total Allowable Contributions
2018/19	$5,449	$25,000
2019/20	$6,193	$25,000
2020/21	$5,248	$25,000
2021/22	$5,009	$27,500
2022/23	$8,711	$27,500
TOTAL	**$38,573**	**$130,000**

- You therefore have a total of **$91,427** in concessional contributions available to you from the 2018/19, 2019/20, 2020/21, 2021/22 and 2022/23 Financial Years.

Recommendation:

- **Jason and Yuki**, as your respective superannuation balances are less than $500,000 you are eligible to make 'catch up' concessional contributions.

- **Jason**, you have been making a salary sacrifice of $800 per month and have been consistently reaching the maximum level of concessional contributions permissible – we recommend you continue with this strategy.
- **Jason**, we recommend you make the additional 'catch up' contribution of **$2,034** in the 2023/24 financial year.
- Yuki, you have been Salary Sacrificing $50 per week at one job and $100 per fortnight at your other job. This takes your yearly Salary Sacrifice to $5,200 p.a., on top of your Superannuation Guarantee (SG) contributions which are expected to be approximately $7,795 based on your contributions to date for this Financial Year.
- This takes your yearly expected total contributions to around $13,000 p.a.
- **Yuki**, in light of the above, consider making additional salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to an additional personal contribution of **$14,500 p.a**.
- Yuki, we also recommend implementing one of the 'catch up' contribution strategies (Strategy 1 or Strategy 2) as outlined on **Pages 32 and 33.**
- The associated tax benefit is outlined on the following pages.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 34.5% for Yuki and 39% for Jason (both including the 2% Medicare levy) if taken as income.
- **The total tax saving each year is anticipated to be:**
  - **Yuki** **$3,045**

Tax Liability - Jason

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$176,100			
Deductions				
Salary Sacrifice		$9,600		
Car Allowance Tax Exempt		$7,500		
TAXABLE INCOME			**$159,000**	
Tax Payable before Rebates/Credits				**$43,897**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$43,897**
Medicare Levy				$3,180
NET TAX				**$47,077**

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$176,100			
Deductions				
Salary Sacrifice		$9,600		
Car Allowance Tax Exempt		$7,500		
'Catch-Up' Contribution		$2,034		
TAXABLE INCOME			**$156,966**	
Tax Payable before Rebates/Credits				**$43,144**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$43,144**
Medicare Levy				$3,140
NET TAX				**$46,284**

Note: the additional $2,034 superannuation contribution will be subject to contributions tax of 15% ($305). Therefore, total tax incurred will be $46,589.

Therefore, the overall tax benefit is anticipated to be $488 for this year ($47,077 – $46,284).

Tax Liability - Yuki

<u>Current</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$70,000			
Deductions				
Salary Sacrifice		$5,200		
TAXABLE INCOME			**$64,800**	
Tax Payable before Rebates/Credits				**$11,527**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($28)
Total Rebates & Credits				**($28)**
TAX PAYABLE after REBATES & CREDITS				**$11,499**
Medicare Levy				$1,296
NET TAX				**$12,795**

<u>Proposed</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$70,000			
Deductions				
Salary Sacrifice		$5,200		
Additional concessional contribution		$14,500		
TAXABLE INCOME			**$50,300**	
Tax Payable before Rebates/Credits				**$6,814**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($246)
Total Rebates & Credits				**($246)**
TAX PAYABLE after REBATES & CREDITS				**$6,092**
Medicare Levy				$1,006
NET TAX				**$7,575**

<u>Note:</u> the additional $14,500 superannuation contribution will be subject to contributions tax of 15% ($2,175). Therefore, total tax incurred will be $9,750.

<u>Therefore, the overall tax benefit is anticipated to be $3,045 p.a. ($12,795 – $9,750).</u>

Tax Liability – Yuki (Catch-Up Contribution Strategy 1)

<u>Current</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$70,000			
Deductions				
Salary Sacrifice		$5,200		
TAXABLE INCOME			**$64,800**	
Tax Payable before Rebates/Credits				**$11,527**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($28)
Total Rebates & Credits				**($28)**
TAX PAYABLE after REBATES & CREDITS				**$11,499**
Medicare Levy				$1,296
NET TAX				**$12,795**

<u>Proposed</u> Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$70,000			
Deductions				
Salary Sacrifice		$5,200		
Additional concessional contribution		$14,500		
Catch-Up Contribution		$5,300		
TAXABLE INCOME			**$45,000**	
Tax Payable before Rebates/Credits				**$5,092**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($325)
Total Rebates & Credits				**($325)**
TAX PAYABLE after REBATES & CREDITS				**$4,767**
Medicare Levy				$900
NET TAX				**$5,667**

<u>Note:</u> the additional $19,800 superannuation contribution will be subject to contributions tax of 15% ($2,970). Therefore, total tax incurred will be $8,637.

<u>Therefore, the overall tax benefit is anticipated to be $4,158 p.a. ($12,795 – $8,637).</u>

Tax Liability – Yuki (Catch-Up Contribution Strategy 2)

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$70,000			
Deductions				
Salary Sacrifice		$5,200		
TAXABLE INCOME			**$64,800**	
Tax Payable before Rebates/Credits				**$11,527**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($28)
Total Rebates & Credits				**($28)**
TAX PAYABLE after REBATES & CREDITS				**$11,499**
Medicare Levy				$1,296
NET TAX				**$12,795**

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$70,000			
Deductions				
Salary Sacrifice		$5,200		
Additional concessional contribution		$14,500		
Catch-Up Contribution		$28,500		
TAXABLE INCOME			**$21,800**	
Tax Payable before Rebates/Credits				**$684**
LESS Rebates & Credits				
Low Mid Income Tax Offset				($684)
Total Rebates & Credits				**($684)**
TAX PAYABLE after REBATES & CREDITS				**$0**
Medicare Levy				$0
NET TAX				**$0**

Note: the additional $43,000 superannuation contribution will be subject to contributions tax of 15% ($6,450). Therefore, total tax incurred will be $6,450.

Therefore, the overall tax benefit is anticipated to be $6,345 p.a. ($12,795– $6,450).

Catch-Up Contribution Strategy Tax Savings Summary

- **Jason**, the total tax saving from making the 'catch up' contribution available to you this year is anticipated to be:
  - Jason $488

- **Yuki**, the total tax saving from making the first recommended (Strategy 1) 'catch-up' contribution this year is anticipated to be:
  - Yuki $4,158

- **Yuki**, the total tax saving from making the second recommended (Strategy 2) 'catch-up' contribution this year is anticipated to be:
  - Yuki $6,345

Contribution Strategy 1:

- **Yuki**, if you contribute the recommended 'carry forward' contributions ($5,300 p.a.), along with the maximum annual concessional contributions available to you, **the income tax saving over the next five years is anticipated to be $20,790**.
  - The carry-forward contribution is spread across five years in order to achieve the most tax-beneficial outcome.

**It is assumed existing employer contributions and Salary Sacrificing remain the same through these 5 years at $13,000 p.a.*

	2023/24	2024/25	2025/26	2026/27	2027/28	Total
Concessional Contribution Cap	**$27,500**	**$27,500**	**$27,500**	**$27,500**	**$27,500**	
Personal Concessional Contributions Available (including 'carry forward' contributions)	$91,427	$78,839	$60,032	$40,280	$17,789	
Carry Forward Contribution	$5,300	$5,300	$5,300	$5,300	$5,300	**$26,500**
Additional Concessional Contribution	$14,500	$14,500	$14,500	$14,500	$14,500	**$72,500**
Total Concessional Contribution	**$19,800**	**$19,800**	**$19,800**	**$19,800**	**$19,800**	**$99,000**
Taxable Income	$45,000	$45,000	$45,000	$45,000	$45,000	
Reduction in Income Tax Payable	**$4,158**	**$4,158**	**$4,158**	**$4,158**	**$4,158**	**$20,790**

Contribution Strategy 2:

- Yuki, the above table represents the ideal timeline if you were to utilise the catch-up contributions available to you in order to reduce your taxable income down to $45,000.
- An alternative case (and ultimately the most tax efficient) would be to reduce your taxable income to $21,800 so that your tax payable reduces down to $0. **The income tax saving over the next five years in this scenario is anticipated to be $26,307**.

**It is assumed existing employer contributions and Salary Sacrificing remain the same through these 5 years at $13,000 p.a.*

	2023/24	2024/25	2025/26	2026/27	2027/28	Total
Concessional Contribution Cap	**$27,500**	**$27,500**	**$27,500**	**$27,500**	**$27,500**	
Personal Concessional Contributions Available (including 'carry forward' contributions)	$91,427	$62,927	$34,427	$5,927	-	
Carry Forward Contribution	$28,500	$28,500	$28,500	$5,927	-	**$90,427**
Additional Concessional Contribution	$14,500	$14,500	$14,500	$14,500	$14,500	**$72,500**
Total Concessional Contribution	**$43,000**	**$43,000**	**$43,000**	**$20,427**	**$14,500**	**$163,927**
Taxable Income	$21,800	$21,800	$21,800	$44,373	$50,300	
Reduction in Income Tax Payable	**$6,345**	**$6,345**	**$6,345**	**$4,227**	**$3,045**	**$26,307**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Proposed Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Jason	Yuki	Total
Income			
Taxable Income	$159,000	$64,800	$223,800
Sub Total	**$159,000**	**$64,800**	**$223,800**
Less Income Tax	$47,077	$12,795	$59,872
Net Income	**$111,923**	**$52,005**	**$163,928**
Less Budgeted Expenditure	$42,000	$42,000	$84,000
Income Surplus	**$69,923**	**$10,005**	**$79,928**

Superannuation Contributions Utilising Cash Reserves and Redraw Facility

- You have a residential property with redraw available totalling approximately $180,000.
- You wish to use this facility to assist with renovating your bathrooms, which you estimate will cost roughly $50-$60k.
- You have the ability to utilise the rest of these available funds to assist with the superannuation contribution strategy outlined in this Statement of Advice.
- We have assumed an interest rate of 5.8% on the loan.

Interest Cost of Contribution Strategy 1:

Based on the Cash Flow Table on the previous page, you are expected to have sufficient cash flow to make these additional contributions each year. If this is not the case, you also have a redraw facility which you may utilise to make these contributions.

Below is an outline of the expected interest cost if you were to redraw funds from your loan to make these contributions.

Year:	22/23	23/24	24/25	25/26	26/27	Total
Contribution:	$21,834	$19,800	$19,800	$19,800	$19,800	$101,034
Redraw used:	$21,834	$41,634	$61,434	$81,234	$101,034	
Interest Expense:	$1,266.37	$2,414.77	$3,563.17	$4,711.57	$5,859.97	**$17,815.86**

You will incur an interest cost of $17,815.86 over 5 years in order to make a total concessional contribution of $101,034 into superannuation over this period.

Tax saving and growth of super monies of Contribution Strategy 1:

- By directing these monies into superannuation, the monies will then be invested within superannuation.
- Jason and Yuki, it is anticipated your tax payable will reduce by approximately **$20,790** over this period.
- Using a conservative average superannuation return of 6% p.a., the $101,034 contributed into super via the concessional contribution strategy will earn **$13,148** over the 5-year period.

Year:	23/24	24/25	25/26	26/27	27/28	Total
Total:	n/a	$21,834	$42,944	$65,321	$89,040	**$114,182**
Contribution:	$21,834	$19,800	$19,800	$19,800	$19,800	
Earnings @6%:	n/a	$1,310.04	$2,576.64	$3,919.24	$5,342.40	**$13,148.32**

Interest Cost of Contribution Strategy 2:

Below is an outline of the expected interest cost if you were to redraw funds from your loan to make these contributions.

Year:	22/23	23/24	24/25	25/26	26/27	Total
Contribution:	$45,034	$43,000	$43,000	$20,427	$14,500	$165,961
LOC used:	$45,034	$88,034	$131,034	$151,461	$165,961	
Interest Expense:	$2,611.97	$5,105.97	$7,599.97	$8,784.74	$9,625.74	**$33,728.39**

You will incur an interest cost of $33,728.39 over 5 years in order to make a total concessional contribution of $165,961 into superannuation over this period.

Tax saving and growth of super monies of Contribution Strategy 2:

- By directing these monies into superannuation, the monies will then be invested within superannuation.
- Jason and Yuki, it is anticipated your tax payable will reduce by approximately **$26,307** over this period.
- Using a conservative average superannuation return of 6% p.a., the $163,927 contributed into super via the concessional contribution strategy will earn **$26,574** over the 5-year period.

Year:	23/24	24/25	25/26	26/27	27/28	Total
Total:	n/a	$45,034	$90,736	$139,180	$167,958	**$192,535**
Contribution:	$45,034	$43,000	$43,000	$20,427	$14,500	
Earnings @6%:	n/a	$2,702.04	$5,444.16	$8,350.81	$10,077.48	**$26,574.50**

Recommendation:

- Jason and Yuki, we suggest directing surplus monies into superannuation via either of the contribution strategies previous detailed.

Basis of Recommendation:

- The reduction in tax payable and the growth rate within superannuation are anticipated to exceed the interest you will incur on the borrowed funds.
- You will be building assets in what will ultimately be a tax-free environment (superannuation when in pension phase).

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However, we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You currently have basic Wills in place.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which
- case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

You currently do not have Powers of Attorney in place.

Recommendation:

- **We recommend you consult an approved legal practitioner to ensure they are prepared as soon as possible.**
- **We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**
- **We recommend you consult Lakeside Lawyers Pty Ltd for a review every three years.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 **- The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.**

Investment Structures & Associated Retirement Projections:

Assumptions:

- 10-year projections.
- Superannuation capital increases by 6.0% p.a.
- Capital value of residential property increases at 5.0% p.a.
- Surplus cash flows from earnings into a cash account and accrues at 4.0% p.a.

Current Total Super and Investment Capital is as follows.

Total Net Super Capital:	$478,672
Total Net Investment Capital:	$0
Total Net Retirement Assets:	**$478,672**

Scenario 1:

- Retain current position.

Total Net Super Capital:	$1,310,978
Total Net Investment Capital:	$1,077,937
Total Net Retirement Assets:	**$2,388,915**

Scenario 2:

- Implement recommended additional concessional superannuation contributions up to the maximum yearly cap of $27,500.

Total Net Super Capital:	$1,473,431
Total Net Investment Capital:	$940,407
Total Net Retirement Assets:	**$2,413,838**

Scenario 3:

- Implement recommended additional concessional superannuation contributions.
- Implement 'catch-up' contributions strategy 1 (see page 32).

Total Net Super Capital:	$1,510,336
Total Net Investment Capital:	$910,615
Total Net Retirement Assets:	**$2,420,951**

Scenario 4:

- Implement recommended additional concessional superannuation contributions.
- Implement 'catch-up' contributions strategy 2 (see page 33).

Total Net Super Capital:	$1,599,462
Total Net Investment Capital:	$828,686
Total Net Retirement Assets:	**$2,428,148**

Aside from your Super/Investment capital, you will also retain your residential property, the estimated position of which after 10 years is as follows:

Residential property value:	$3,227,789
Residential property debt:	$0
Residential property equity:	**$3,227,789**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Based on these Superannuation Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital

After 10 Years:

Scenario	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
1	$2,388,915	$60,000	2.51%
		$90,000	3.77%
		$120,000	5.02%
2	$2,413,838	$60,000	2.49%
		$90,000	3.73%
		$120,000	4.97%
3	$2,420,951	$60,000	2.48%
		$90,000	3.72%
		$120,000	4.96%
4	**$2,428,148**	**$60,000**	**2.47%**
		$90,000	**3.71%**
		$120,000	**4.94%**

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $2,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of $1,200 p.a. and $600 p.a. will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a ‘clear, concise & an effective’ method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is import to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections